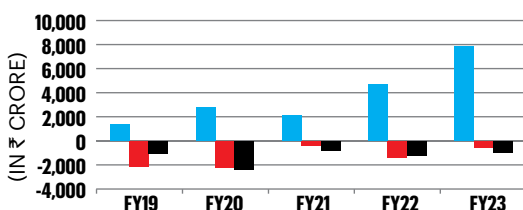


CUTTING LOSSES...

● Zomato is significantly reducing losses; rival Swiggy was also in the red for FY23



● TOTAL INCOME ● PBDIT ● NET PROFIT

PBDIT PROFIT BEFORE INTEREST, DEPRECIATION AND TAXES **SOURCE** ACE EQUITY

...AND RACING TO PROFITS

● It has posted profits in three consecutive quarters of FY24

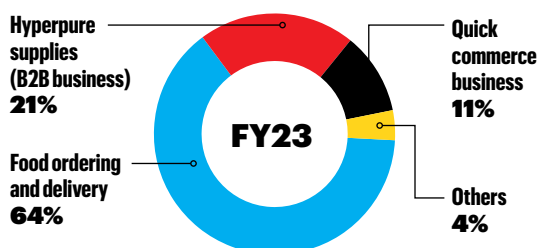
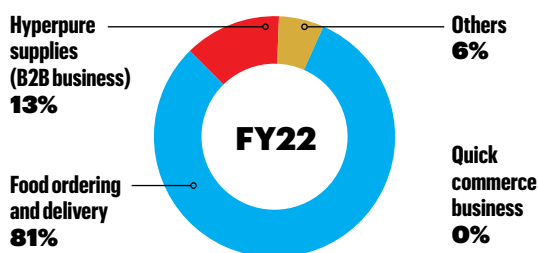
	Q1FY24	Q2FY24	Q3FY24
Total income	2,597	3,060	3,507
Net profit	2	36	138

ALL FIGURES IN ₹ CRORE;

SOURCE: COMPANY'S EARNINGS STATEMENTS

REVENUE PIE

● The food delivery business contributes the most to revenues, but others are upping their share



SOURCE ZOMATO'S ANNUAL REPORTS

tion was at 45% compared to 20-25% for food delivery. This led the management to open more dark stores—a large facility that houses goods used to fulfill online orders. While the initial expectation was 1,200 orders per day, the number is in the range of 3,500-4,000 now, and they are serviced by a network of dark stores that are replenished three to four times daily.

Higher volumes meant the stores could be redesigned, and slowly, the financial returns began looking better. “You have to sweat the asset completely since there is physical infrastructure. In food delivery, restaurants pay the fixed costs,” says the CFO. That has paid off and the loss per order is down to ₹10-15.

According to Albinder Dhindsa, Founder & CEO

of Blinkit (he founded online grocery delivery service Grofers with Saurabh Kumar in 2013), quick commerce was thought of as far back as 2015, but the backend proved to be an issue. And when it emerged, it was not entirely planned. “We opened stores during the pandemic since the supply chain had collapsed. To overcome that, we disaggregated the facilities and instead of one large warehouse, we had to go for smaller ones,” he recalls. Now, there was an opportunity to deliver faster with a very efficient supply chain. “Inventory must move fast and if you sweat the asset and increase the width of products, the number of places where you get operating leverage (proportion of fixed costs to overall costs) takes off. Quick commerce (apart from Blinkit,

35

Its core customer base is 30-40 million and every new foray is targeted at them

After being in the red for a while on the back of high capex and everything being expensed, Zomato posted net profit in the last three quarters

Blinkit is expected to drive revenues given its scale of operations and an opportunity existing for quick commerce

Over time, the plan is to have a healthy mix of B2B and B2C businesses